

HOUSE BILL 2583

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AN ACT to amend Tennessee Code Annotated, Title 68
and Title 70, relative to the "Tennessee Outdoor
Stewardship Trust Fund."

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 70, is amended by adding the following
as a new chapter:

70-10-101.

As used in this chapter, unless the context otherwise requires:

(1) "Board" means the board of trustees of the "Tennessee Outdoor
Stewardship Trust Fund";

(2) "Conservation land" means land and water, or interests therein, that
are in their undeveloped, natural states or that have been developed only to the
extent consistent with, or are restored to be consistent with, at least one (1) of
the following environmental values or conservation benefits:

(A) Water quality protection for wetlands, rivers, streams, or
lakes;

(B) Protection of wildlife habitat;

(C) Protection of cultural sites and archeological and historic
resources;

(D) Protection of land around this state's military installations to
ensure that missions are compatible with surrounding communities and
that encroachment on military installations does not impair future
missions;

(E) Support of economic development through conservation projects;

(F) Provision for recreation in the form of archery, boating, hiking, camping, fishing, hunting, running, jogging, biking, walking, shooting facilities, and similar outdoor activities; or

(G) Recruiting or retention of recreation in the form of archery, boating, hiking, camping, fishing, hunting, running, jogging, biking, walking, shooting facilities, or similar outdoor activities;

(3) "Nongovernmental entity" means a nonprofit organization primarily concerned with the protection and conservation of land and natural resources, as evidenced by its organizational documents;

(4) "Permanently protected conservation areas" means those resources:

(A) Owned by the federal government and dedicated for recreation or conservation or as a natural resource;

(B) Owned by the state of Tennessee and dedicated for recreation or conservation or as a natural resource;

(C) Owned by a state, county, or municipal unit of government or authority and subject to:

(i) A conservation easement ensuring that the property will be maintained in a manner consistent with conservation land;

(ii) Contractual arrangements ensuring that if the protected status is discontinued on a parcel, such property will be replaced by other conservation land which at the time of such replacement is of equal or greater monetary and resource protection value; or

(iii) A permanent restrictive covenant as provided in state law; or

(D) Owned by any person or entity and subject to a conservation easement ensuring that the property will be maintained in a manner consistent with conservation land;

(5) "Project proposal" means any application seeking monies from the Tennessee Outdoor Stewardship Trust Fund; and

(6) "State agency" means any agency, department, commission, or institution of this state.

70-10-102.

(a)

(1) There is created in the state treasury a special fund to be designated as the "Tennessee Outdoor Stewardship Trust Fund." The special fund consists of funds appropriated or otherwise made available by the general assembly in any manner and funds from any other source designated for deposit into such fund. Funds must be accounted for as unobligated funds or obligated funds. Unexpended amounts remaining in the fund at the end of a fiscal year do not lapse into the state general fund, and any investment earnings or interest earned on amounts in the fund must be deposited to the credit of the fund; however, any unobligated monies in excess of twenty million dollars (\$20,000,000) remaining in the fund at the end of a fiscal year that have not been appropriated shall revert to the general fund. Monies in the fund may be used by the department of finance and administration, upon appropriation by the general assembly, based upon the recommendation of the board of trustees of the Tennessee Outdoor Stewardship Trust Fund for the purposes of providing assistance to counties, municipalities,

state agencies, and nongovernmental entities, as provided in this chapter. The board shall not use more than one percent (1%) of monies in the special fund to defray the expenses of the board in carrying out its duties under this chapter. The department of finance and administration shall not use more than three percent (3%) of monies in the special fund to defray the expenses of the board in carrying out its duties under this chapter.

(2) Subject to subdivision (a)(1), monies in the fund may be used and expended by the board to provide funds for:

(A) Grants to counties, municipalities, state agencies, and nongovernmental entities for:

(i) Improvement of state park outdoor recreation features and trails;

(ii) Restoration or enhancement on privately owned working agricultural lands and forests that support conservation of soil, water, habitat of fish, and wildlife resources;

(iii) Providing funds to counties and municipalities to acquire and improve parks and trails under the control and within the jurisdiction of such counties and municipalities;

(iv) Restoration or enhancement projects to create or improve access to public waters and lands for public outdoor recreation, conservation education, use or safe enjoyment of permanently protected conservation land;

(v) Restoration or enhancement of wetlands, native forests, native grasslands, and other unique habitats important for this state's fish and wildlife; and

(vi) To acquire critical areas for the provision or protection of clean water, wildlife, hunting or fishing, for military installation buffering, or for natural resource-based outdoor recreation. Real property may only be acquired under this subdivision (a)(2)(A)(vi) under the following circumstances:

(a) Where the property is, at the time of acquisition, being leased by the state as a wildlife management area;

(b) Where the property adjoins or is in close proximity to state or federal wildlife management areas, state parks, or would provide better public access to such areas;

(c) Lands identified in any wildlife action plan developed by a state agency;

(d) Riparian lands so as to protect any drinking water supply;

(e) Lands surrounding any military base or military installation; and

(f) Acquisition of land may not be made through the exercise of any power of eminent domain or condemnation proceeding; and

(B) Loans to municipalities, counties, nongovernmental entities, and state agencies to defray the costs of the projects described in subdivision (a)(2)(A).

(3) Unless otherwise authorized by the board, a county, municipality, state agency, or nongovernmental entity that receives funds for a project under this section must expend the funds for the project within two (2) years after receipt of the funds in order to be eligible to apply for additional funds for the project under this section. If a county, municipality, state agency, or nongovernmental entity receiving funds for a project does not expend the funds within two (2) years after receipt of the funds, then the county, municipality, state agency, or nongovernmental entity must provide an accounting of such unused funds and the reason for failure to expend the funds.

(4) A county, municipality, or state agency receiving funds under this section may use the funds for purposes for which the funds were provided to the county, municipality, or state agency.

(5) Monies in the special fund must not be used, expended, or transferred for any other purpose other than authorized under this chapter.

(b)

(1) The board shall accept applications from counties, municipalities, state agencies, and nongovernmental entities for project proposals eligible for funding under this section. The board shall evaluate the proposals received in accordance with this section and pursuant to priorities established by the board.

(2)

(A) A county, municipality, state agency, or nongovernmental entity seeking assistance under this section must submit a complete application to the board. The application must include a description of the purpose for which assistance is requested, the type and amount of assistance requested, and any other information required by the board.

(B) The board shall review an application for assistance and determine whether the applicant is eligible for assistance under this section and whether the applicant should receive assistance under this section. In reviewing applications, the board shall give increased priority to projects:

(i) That leverage or match other nonfederal or federal funds that are available for similar purposes;

(ii) That support and promote hunting, fishing, and provision for recreation in the form of archery, boating, hiking, camping, fishing, hunting, running, jogging, biking, walking, shooting facilities, or similar outdoor activities;

(iii) That contribute to improving the quality and quantity of surface water and ground water;

(iv) That contribute to the conservation of soil, water, and fish and wildlife resources on privately owned working agricultural lands or forests; and

(v) That contribute to achieving the goals and objectives of local, state, regional, and national conservation or outdoor recreational plans.

(3) If the board determines that an applicant should receive assistance, then the board must prepare a recommendation for assistance, which must state the purpose for which the assistance is to be provided, the type of assistance to be provided, the amount of assistance to be provided, and any other information determined necessary by the board. The board shall provide its recommendation for assistance to the department of finance and administration, and the

department shall use funds from the Tennessee Outdoor Stewardship Trust Fund to provide the assistance.

70-10-103.

(a)

(1) There is established the board of trustees of the Tennessee Outdoor Stewardship Trust Fund that consists of twelve (12) members as follows:

(A) The state forester, who is an ex officio nonvoting member;

(B) The executive director of the Tennessee soil and water conservation commission, who is an ex officio nonvoting member;

(C) The director of the division of parks and recreation, who is an ex officio nonvoting member;

(D) The commissioner of agriculture, who is an ex officio nonvoting member

(E) Three (3) members appointed by the governor;

(F) Two (2) members appointed by the speaker of the senate;

and

(G) Two (2) members appointed by the speaker of the house of representatives.

(2) The board shall not approve any funding to a county, municipality, state agency, or nongovernmental entity in which a voting member of the board is an executive, other employee, or is a voting member of a governing board with such county, municipality, state agency, or nongovernmental entity.

(3) The members of the board appointed under subdivisions (a)(1)(E)-(G) must be appointed from the following private sectors: forestry, conservation, agriculture, marine resources, hunting, or fishing. Such members must be

residents of this state during their tenure on the board and must possess a demonstrated knowledge of and commitment to land conservation and outdoor recreation.

(4)

(A)

(i) Two (2) persons initially appointed by the governor and two (2) persons initially appointed by the speaker of the senate shall each serve for a term ending June 30, 2029; and

(ii) One (1) person initially appointed by the governor and two (2) persons initially appointed by the speaker of the house of representatives shall each serve for a term ending June 30, 2030.

(B) Upon the expiration of the initial terms under subdivision

(4)(A), all appointments to the board expire on June 30 and begin on July 1, every four (4) years thereafter.

(5) A majority of the voting members of the board constitutes a quorum for the conduct of meetings, and all actions of the board require a majority vote of the voting members of the board.

(6) The board shall annually elect one (1) member to serve as chair and one (1) member to serve as vice chair. The vice chair shall act as chair in the absence of or upon the disability of the chair or if there is a vacancy in the office of the chair.

(b)

(1) The ex officio members and the members appointed by the governor serve without compensation but are eligible for reimbursement of travel expenses incurred. All reimbursement for travel expenses must be in conformity with the

comprehensive state travel regulations as promulgated by the commissioner of finance and administration and approved by the attorney general and reporter.

(2) The members appointed by the speaker of the senate and the speaker of the house of representatives are eligible for reimbursement of travel expenses incurred in conformity with § 3-1-106, and may expend funds pursuant to § 2-10-114(f).

(c) A member of the board shall not use the member's official position to obtain, or attempt to obtain, pecuniary benefit for the member other than that compensation provided for by law, or to obtain, or attempt to obtain, pecuniary benefit for any relative or any business with which the member is associated.

(d) The department of finance and administration shall provide the office space, staff, and other support necessary for the board to perform its duties.

(e) Following the close of each state fiscal year, the board shall submit an annual report of its activities for the preceding state fiscal year pursuant to this chapter to the governor; the speaker of the senate; the speaker of the house of representatives; the chair of the finance, ways and means committee of the senate; and the chair of the committee of the house of representatives having jurisdiction over matters relating to the establishment of funds to finance state projects and activities.

70-10-104.

The department of revenue:

(1) In consultation with the board, shall promulgate rules to implement and administer this chapter in accordance with the Uniform Administrative Procedures Law, compiled in title 4, chapter 5; and

(2) May promulgate rules to establish allocations of revenue or other proceeds received under this chapter.

SECTION 2. For the purpose of appointing members to the board, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.